



Economic Research Team

(160)

NATIONAL 2025

PRELIMS

TOPIC

Explain the primary objectives of monetary policy and discuss the tools central banks use to achieve these objectives. Evaluate the effectiveness of these tools in managing inflation and promoting economic stability, providing real-world examples to support your argument.

In your response, consider the following:

- the main tools used by central banks to implement monetary policy, including open market operations, the discount rate, and reserve requirements.
- criticisms regarding the effectiveness and possible unintended consequences of central banks
- future challenges and opportunities for central banks.

GENERAL GUIDELINES

1. **Formulate Questions:** As a team of judges, create two to three questions to ask at the end of each presentation. *Make sure to ask the same questions to every contestant.*
2. **Presentation Details:**
 - **Setup Time:** Teams have up to 3 minutes to set up.
 - **Presentation Time:** Each team has up to 7 minutes to present, followed by up to 5 minutes for judges' questions.
 - **Completion:** Excuse the teams after the judges' questions are finished.
3. **Judging Rules:**
 - **No Ties:** There can be no ties in the top 10 teams. Judges are responsible for breaking any ties.
 - **Ranking:** The administrator will fill out the ranking sheet before dismissing the judges.
 - **Multiple Sections:** If there are multiple sections, finalists will be chosen by selecting an equal number from each section.
4. **Post-Presentation:**
 - **Materials:** Give all Judges' Rating Sheets, Judge Evaluation Sheets, and contest materials to the administrator.
 - **Audience:** No audience is allowed in the contest room.

POTENTIAL JUDGE'S QUESTIONS

1. Can you explain how open market operations are used by central banks to implement monetary policy?
2. How does the discount rate function as a tool for central banks to achieve their monetary policy objectives?
3. What role do reserve requirements play in the implementation of monetary policy?
4. How do central banks balance the goals of controlling inflation and promoting economic growth?
5. What future challenges do central banks face in implementing monetary policy?

FINAL STEPS

Double-check and verify all scores.